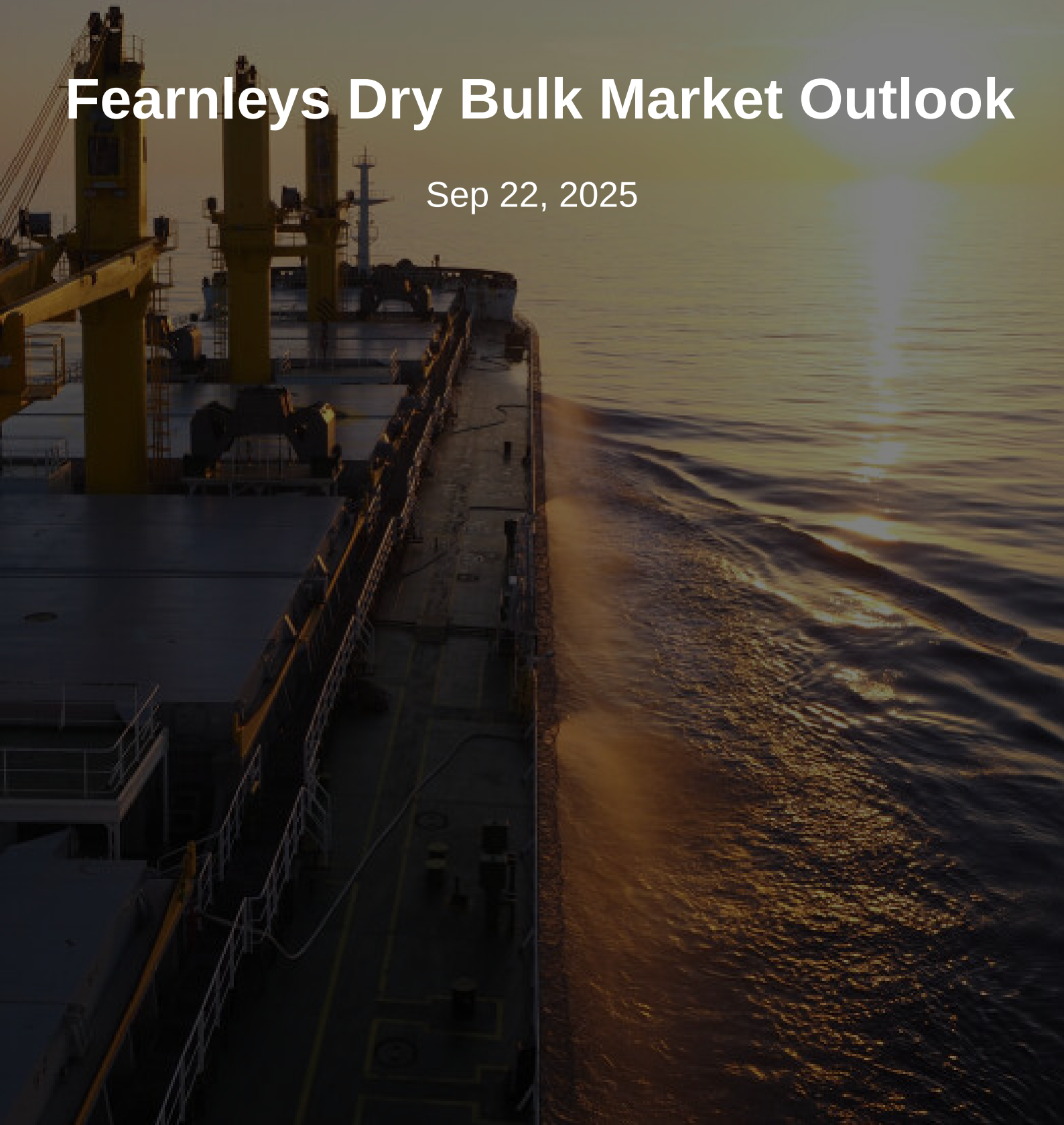


Fearnleys Dry Bulk Market Outlook

Sep 22, 2025



SUMMARY AND OUTLOOK

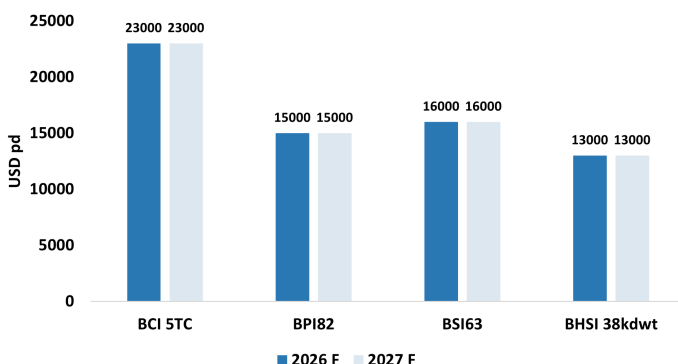
As we are about to enter Q4, it is worth noting that over the last 10 years, the BDI has averaged lower in Q4 than in Q3 seven out of ten years. Apart from seasonal factors, the surge in demand growth seen for Panamax, Supra, and Handy in July and August was so strong that a temporary exhaustion would be natural. The year-on-year growth in total shipment volumes for those segments has averaged 6% in the last three months, with the previous seven similar demand surges seen in the last 10 years leading to at best sideways over the following months. For the dry bulk segment in total, a similar comparison can be made, as the 7% year-on-year growth in July and August exceeds the 5% average seen during upcycles. The CAGR for total dry bulk shipment volumes was 2.4% between 2017-2024 (a close match with global GDP growth). So, demand downcycles usually bottom around 0% growth, like in the first half of this year, and demand upcycles usually peak around 5% growth. In April this year, Trump's trade policies posed a severe risk of the global growth baseline declining significantly from the 2017-2024 average, but fortunately, he went back on most of those policies, though, of course, there is a lingering risk in that regard.

Regarding 2026, the bullish factors are stacking up, so our view that 26 would average higher than 25, held since September last year, still looks likely. The main risk, as we see it, is the potential for a US recession, but this also depends on what type of US recession it is. If Trump's tariffs is the factor that causes it, then it will likely go along with higher inflation, which in turn could lead to a reversal in US monetary policy, causing the Dollar to strengthen and forcing the World ex-US to raise interest rates. The US dollar is an important driver of dry bulk demand (shown on the last page of this report), so it bears close watching.

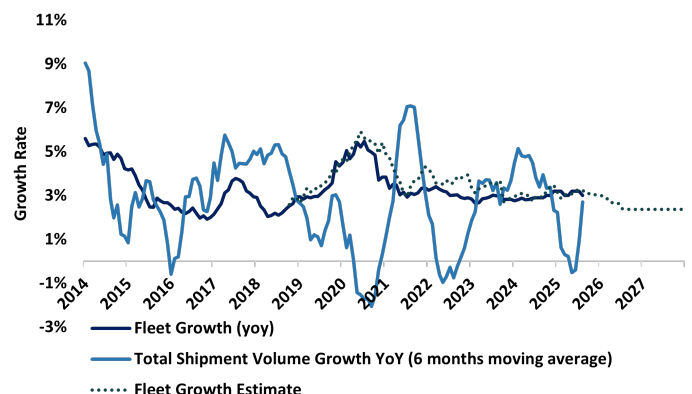
Commodity groups outlook for 2026

Iron Ore: Credit stimulus and increased domestic construction activity in China, lower interest rates, and energy costs in the World ex-China to support demand. Simandou and Vale's S11D will increase long-haul seaborne supply. A risk still remains that iron ore inventories in China have not yet been fully drawn down (inventories were lower in late 2023 than now, for example). Anti-dumping cases against China's steel exports have the potential to change the dynamics somewhat. This would weigh down China's iron ore import demand but increase the World ex-China's import demand. Otherwise, a decline in steel exports pose a downside risk to the Supra/Ultra segment. **Coal:** Global seaborne coal growth has been similarly weak in 2025 to 2020 and 2016. Meanwhile, global consumption keeps rising, so a cycle upturn in 2026 for seaborne coal seems likely. Increased focus on cracking down on domestic overproduction in China and improving global macro could support seaborne demand. Seaborne supply could remain an issue, as of the major exporters, it is only Indonesia that has managed to increase exports significantly in recent years. **Grains:** As always, weather-driven, so it remains to be seen how crops develop. The first estimate for the 25/26 Brazilian soybean season by CONAB showed they expect even higher exports than this year, as the planting area will increase by 3.6%. The CAGR of global grain exports was 2.5% between 2017-2024. **Bauxite:** Lower growth than this year is likely, as the pace of coastal alumina smelter additions in China will fall in both 2026 and 2027. Chalco recently stated additions will grow by "single digits" the next two years.

Earnings Forecasts 26 and 27



Dry Bulk Shipment Volume Growth vs Supply Growth (All Segments)



Fleet Statistics (In Million DWT)

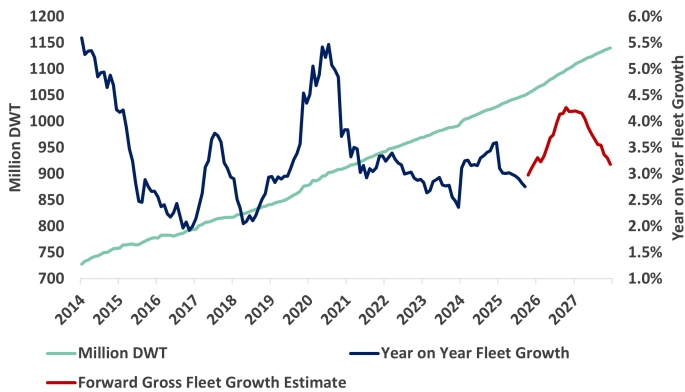
	Total Fleet	CapeNewc	Pmx/Kmx	Smx/Hmx	Handy
2024					
Deliveries	32	7.7	8.8	10.2	5.3
Scrapping	3.3	0.7	1.4	0	1.1
Fleet Growth	3.0%	1.9%	3.0%	5.0%	3.0%
2025 YTD					
Deliveries	23	5.1	5.3	8.7	3.8
Remaining on Schedule	9.9	2.4	3.2	3.1	1.3
Scrapping	3.1	0.8	1.2	0	0.9
YoY Fleet Growth (August)	3.2%	1.6%	2.5%	5.2%	3.6%



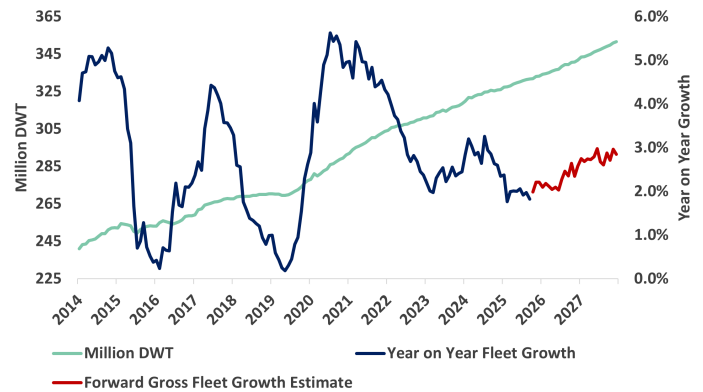


Fleet Growth and Forward Estimates (ex Scrapping and Delivery Delays or Cancellations)

Total Fleet Growth Including Estimate



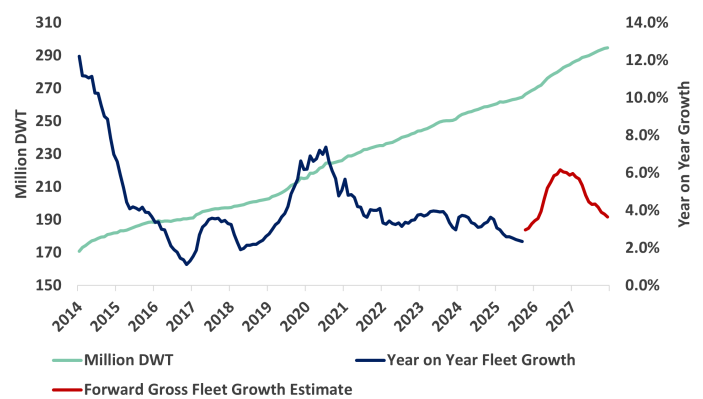
Cape/Newc Fleet Growth Including Estimate



VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate



Supramax/Ultramax Fleet Growth Including Estimate



Handysize Fleet Growth Including Estimate



PERIOD RATES AND ASSET VALUES

As a comparison, spot levels for Handy Ultra and Kamsarmax are at similar heights to the peak last year now. The peak in values last year (Jp):

Kamsarmax 5yr: 38.5

Kamsarmax 10yr: 29.5

Ultramax 5yr: 36

Ultramax 10yr: 28.5

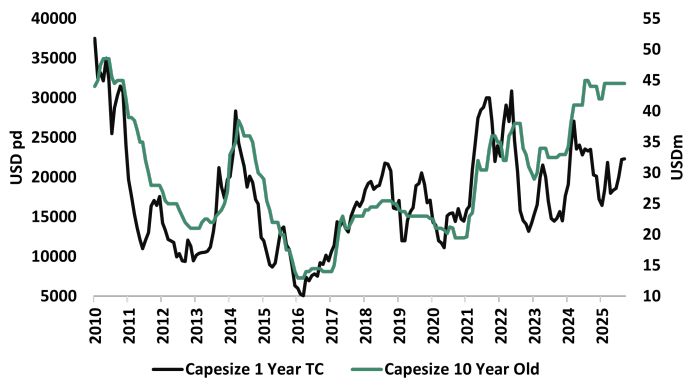
Handy 5yr: 28.5

Handy 10yr: 22

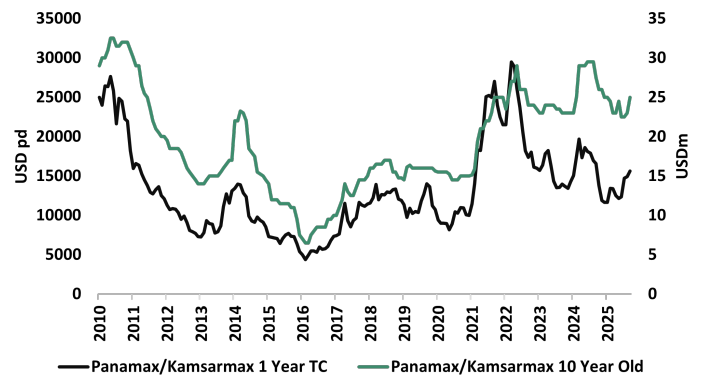
However, 1 Year TC rates are not as high as the peak last year (around 2k lower for all segments). This indicates that last year's peak values will not be reached within the coming months, unless Q4 surprises on a positive note.

For Capes, 1 Year TC rates are a bit lower than the peak during 1H 2024, but values have climbed slightly since then.

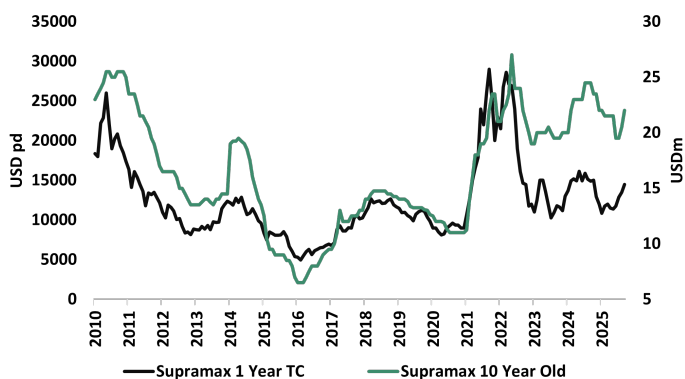
Capesize 1 Year TC vs Capesize 10 Year Old (Japanese)



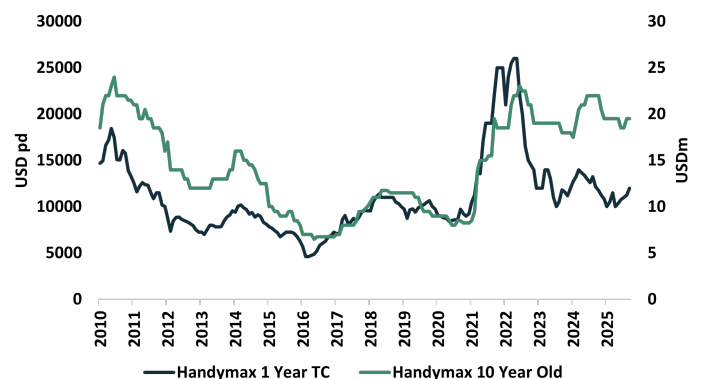
Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old (Japanese)



Supramax 1 Year TC vs Supramax 10 Year Old (Japanese)



Handysize 1 Year TC vs Handysize 10 Year Old (Japanese)

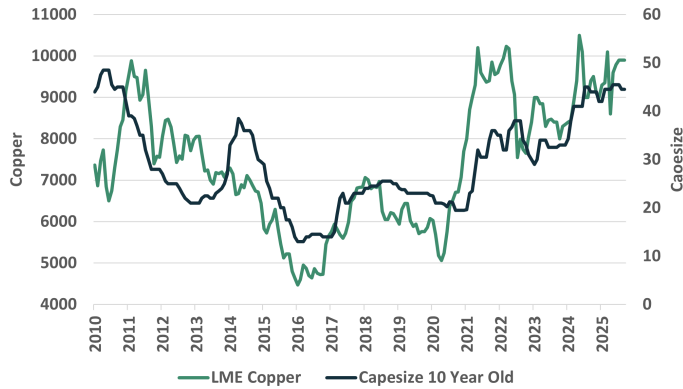




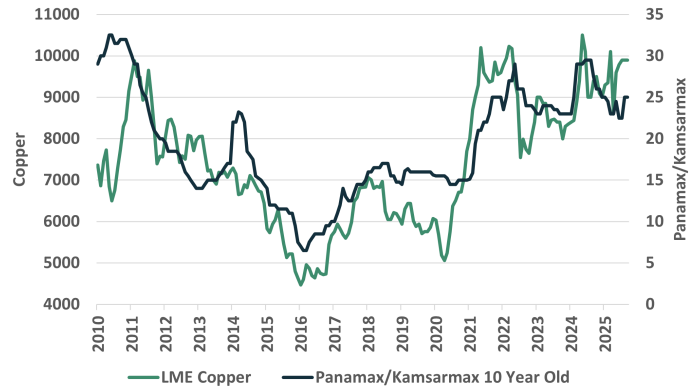
Asset Values vs Commodity Prices

Industrial metal prices often precede the change in second-hand values by around six months. The charts below display the price of copper against second-hand values since 2014. The correlation is high because the price of copper is a barometer of industrial activity and also reflects inflationary or deflationary periods. Copper and other industrial metals are suggesting continued support for asset values.

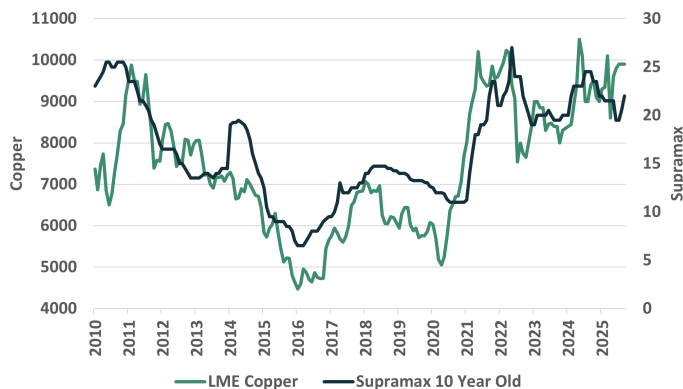
Copper Price vs Capesize 10 Year Old



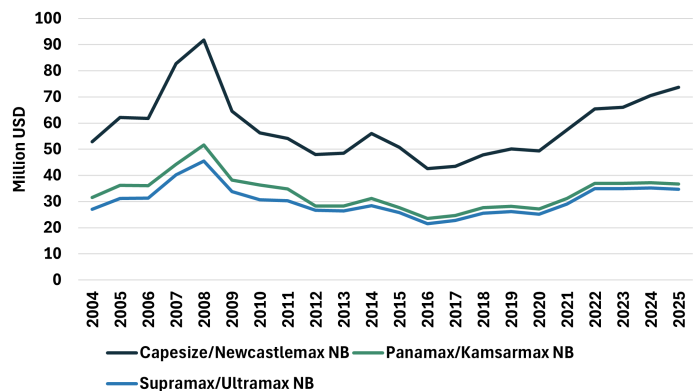
Copper Price vs Kamsarmax 10 Year Old



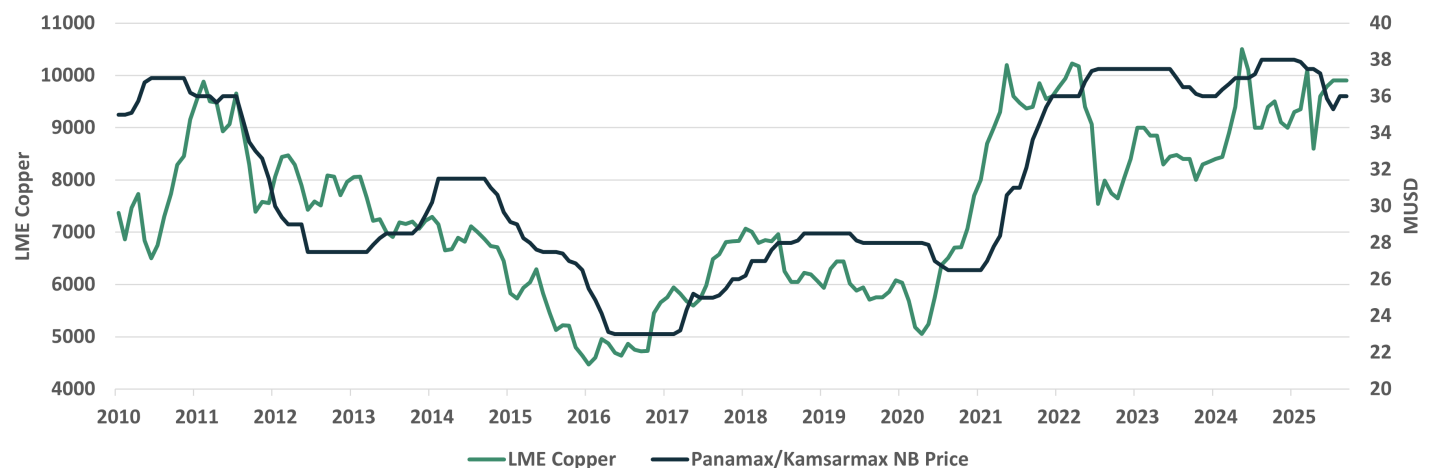
Copper Price vs Supramax 10 Year Old



Dry Bulk Newbuilding Prices



LME Copper Price vs Panamax/Kamsarmax NB Price





TRADE FLOWS YEAR ON YEAR GROWTH

	Iron Ore	Coal	Grains	Others	Total
May-24	5%	2%	3%	5%	5%
Jun-24	5%	4%	9%	2%	5%
Jul-24	-1%	-4%	5%	0%	0%
Aug-24	3%	6%	0%	9%	5%
Sep-24	5%	-1%	-5%	11%	4%
Oct-24	-5%	4%	0%	5%	1%
Nov-24	-1%	5%	0%	10%	5%
Dec-24	-4%	-1%	-12%	5%	-1%
Jan-25	-4%	-4%	-7%	10%	-1%
Feb-25	-6%	-12%	-12%	7%	-4%
Mar-25	0%	-7%	-2%	15%	2%
Apr-25	1%	-6%	-7%	10%	1%
May-25	2%	-12%	1%	12%	0%
Jun-25	1%	-10%	-3%	8%	0%
Jul-25	1%	3%	6%	17%	7%
Aug-25	2%	5%	8%	11%	7%

	100 - 220 KDWT	25 - 100 KDWT		Far East	India + MEG	Southeast Asia
May-24	0%	7%	May-24	4%	4%	19%
Jun-24	6%	7%	Jun-24	3%	2%	4%
Jul-24	0%	1%	Jul-24	5%	9%	14%
Aug-24	6%	3%	Aug-24	1%	3%	18%
Sep-24	3%	2%	Sep-24	0%	-2%	22%
Oct-24	-7%	8%	Oct-24	5%	-4%	15%
Nov-24	5%	6%	Nov-24	2%	-10%	6%
Dec-24	-5%	-2%	Dec-24	6%	-1%	10%
Jan-25	-3%	1%	Jan-25	-9%	11%	10%
Feb-25	-6%	-3%	Feb-25	-11%	0%	8%
Mar-25	-2%	4%	Mar-25	-7%	-1%	9%
Apr-25	-1%	0%	Apr-25	-2%	3%	4%
May-25	1%	0%	May-25	-2%	3%	2%
Jun-25	-1%	0%	Jun-25	-1%	7%	6%
Jul-25	2%	9%	Jul-25	-1%	8%	-5%
Aug-25	1%	10%	Aug-25	3%	12%	3%



MACRO ECONOMIC OUTLOOK

This page gives brief comments on what the charts on the next page tells us.

Top left chart:

China's credit growth remains relatively high, with the last three months' average at 15% - the highest since early 2021. A positive BDI year on year change is suggested from the start of next year.

Top right chart:

Through the first seven months of this year, China's economic growth index has averaged -4.7%, compared to -2.1% for all of 2024. For comparison, China's total dry bulk imports were down 3.3% on last year through August. Next year, we expect China's bulk imports to grow, as inventories of coal and iron have been drawn down this year and as stimulus measures have been increased.

Middle left chart:

Lower crude oil prices are bullish for economic growth, and vice versa. The chart displays that since 2017, there has been a tight correlation between lower year-on-year oil prices and a higher year-on-year BDI, with the oil price change leading by 1 year.

This indicator is suggesting the BDI year-on-year change is past the low point, and that it will trend upwards over the next year. Should one trust the indicator 100%, there will be a dip in the BDI year-on-year change in the coming months, however.

Middle right chart:

Global interest rate cuts suggest 1-year TC rates will be higher during the second half of 2026 than what it was through the first half of this year. That implies at least the mid-teens for Kamsarmaxes. Further, it implies 1-year TC rates could be higher than what it is now in the first part of 2027. Interestingly, the 18-month change of 1-year TC rates continues to trend down despite the last month's rally. We are still in a "downcycle" by that definition.

Bottom left chart:

The OECD G-20 Diffusion index and the BDI year on year change have correlated tightly for decades. However, over the last year, there has been a decoupling, as the Diffusion index suggests the global economy is at peak cycle, whereas the BDI year-on-year change have been in downcycle territory since Q4 last year. The main reason for this decoupling is that the services sector has driven most of global economic growth over the last year, whereas manufacturing has been weak. JP Morgan's Global Manufacturing PMI had its highest reading in September in over a year.

Bottom right chart:

The dollar index has weakened in the last months, and as usual, the result is increased dry bulk shipment volume growth with a few months' lag. The dollar index suggests total dry bulk shipment volume growth will rise to an average of 4%-5% on a six-month moving average basis.



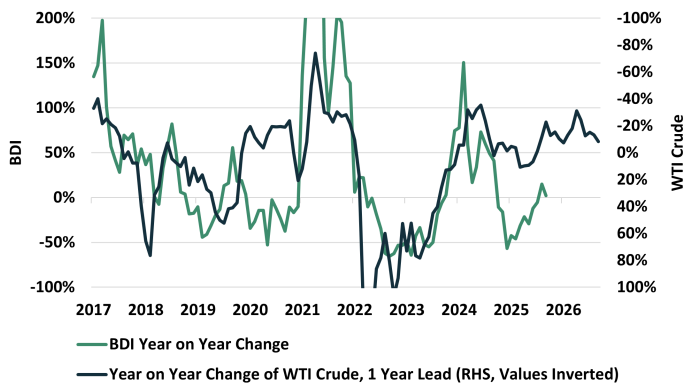
Baltic Dry Index Year on Year Change vs China Credit Growth (12 Months Lead)



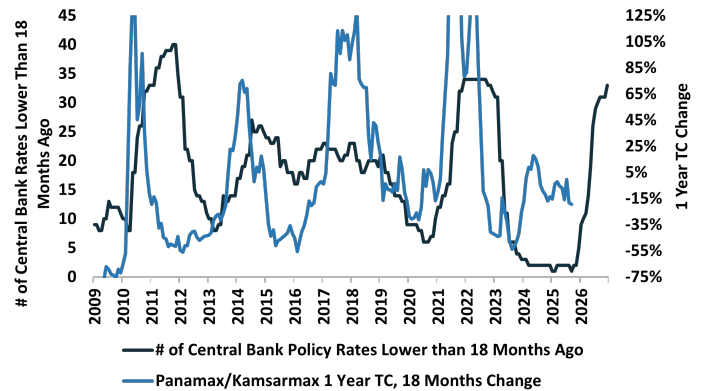
China Economic Growth Index vs Global Dry Bulk Shipments Growth



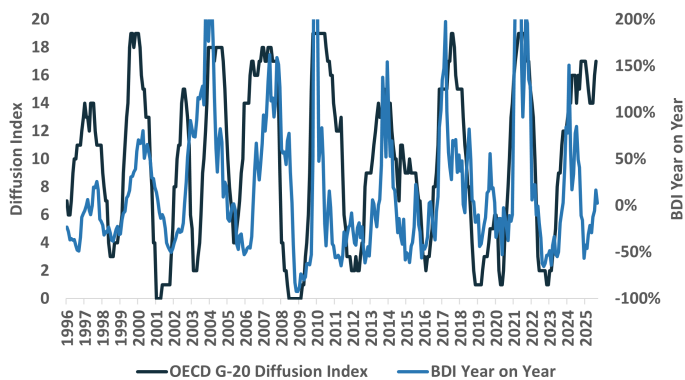
WTI Crude Oil Price YoY, 1 Year Lead vs BDI YoY



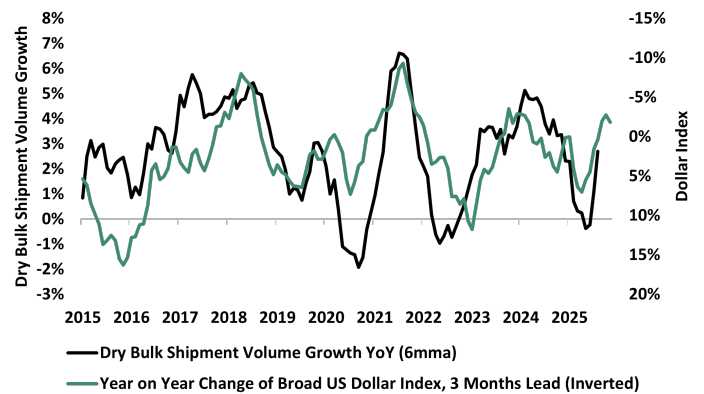
of Central Bank Rates Lower than 18 Months Ago, vs Pmx/Kmx 1 Year TC 18 Months Change



OECD G-20 Diffusion Index vs BDI YoY



Broad US Dollar Index Year on Year vs Dry Bulk Shipment Volume Growth



FRED, OECD, S&P Global, MySteel, AxsMarine, Baltic Exchange



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